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(b) Closing stock

The goods remaining unsold at the end of the accounting period are known as closing stock. They are valued at cost price or net realisable value (market price) whichever is lower as per Accounting Standard 2 (Revised).



Student activity

Think: 'Closing stock need to be valued at cost price or market price whichever is less'. Which is the accounting principle applied here?

12.3.3 Closing of trading account

The difference between the totals of two sides of the trading account indicates either gross profit or gross loss. If the total of the credit side is more, the difference represents gross profit. On the other hand, if the total of the debit side is higher, the difference represents gross loss. The gross profit or gross loss is transferred to profit and loss account.

12.3.4 Format of trading account

Dr. **Trading account for the year ended . . .** **Cr.**

Particulars	`	`	Particulars	`	`
To Opening stock		xxx	By Sales	xxx	
To Purchases	xxx		Less: Sales returns	xxx	xxx
Less: Purchases returns	xxx	xxx	By Closing stock		xxx
To Direct expenses:			By **Gross loss c/d***		xxx
Carriage/Freight inwards		xxx			
Wages		xxx			
Dock charges		xxx			
Octroi		xxx			
Royalty		xxx			
Import duty		xxx			
To Cost of goods manufactured		xxx			
To **Gross profit c/d***		xxx			
		xxx			xxx

* The difference in trading account will be either gross profit or gross loss.

The heading of the trading account contains the words 'for the year ended……' as it discloses the sales and cost of goods sold of the business for the whole accounting year.